DHANLAXMI BANK LIMITED

NSE: DHANBANK | BSE: 532180 | Sector: Private Sector Banking | Kerala-Based Private Lender

ACCUMULATE

12-Month Target: Rs. 44

Upside: +29%

CMP (Rs.)	Market Cap (Rs. Cr)	52w High / Low	P/E (TTM)	Book Value (Rs.)
34.1	**1,346**	**35.2 / 19.4**	**13.1x**	**37.3**
P/B (x)	ROCE (%)	ROE (%)	Dividend Yield	Face Value (Rs.)
0.91x	**5.81%**	**7.16%**	**Nil**	**10.0**

CRAR (Mar 26)	GNPA (Mar 26)	NNPA (Mar 26)	NIM (Dec 25)	PCR (Dec 25)
18.92%	**1.89%**	**0.51%**	**3.43%**	**86.08%**

Investment Thesis: Kerala micro-cap lender completing a decade-long NPA cleanup; gold loan surge (+71% YoY) and MSME growth driving PAT CAGR of 60%+ through FY28E. Trade the turnaround before the ROE inflection.

Metric	FY24A	FY25A	FY26A	FY27E	FY28E
NII (Rs. Cr)	458	483	622	810	1,000
PAT (Rs. Cr)	58	67	103	171	274
EPS (Rs.)	1.46	1.69	2.60	4.33	6.94
P/E (x)	23.4x	20.2x	13.1x	7.9x	4.9x
ROE (%)	6%	5%	7%	11%	16%
GNPA (%)	4.05%	2.98%	1.89%	~1.8%	~1.5%

Report Date: 04 July 2026 | Chartitude Research | Data Source: Screener.in (04-Jul-2026)

For informational purposes only. Estimates are the analyst's own projections.

SECTION 2 — INVESTMENT THESIS

- **NPA cleanup nearing completion.** Gross NPA has collapsed from a peak of 9.23% in FY21 to 1.89% by March 2026 — the lowest in a decade. Provision Coverage Ratio of 86% provides adequate buffer; net NPA of 0.51% now ranks below many larger private sector peers.
- **Gold and MSME surge driving a top-line re-rating.** Gold loans surged 71.4% YoY and now represent ~43% of gross advances, offering high-yield secured collateral in Dhanlaxmi's home market of Kerala — the largest gold loan market in India by penetration per capita; MSME advances grew 30.9% YoY, adding diversification.
- **Capital rebuilt via rights issue; CRAR at 18.92% enables growth without dilution.** CRAR improved sharply from 12.79% (Dec 2024) to 18.92% (Mar 2026) post the FY25 rights issue; the bank can sustain 22-24% credit CAGR for 2-3 years without needing fresh equity capital.
- **Near-term catalyst (6-12 months): ROE inflection.** As credit costs normalise and NII grows on a low base, ROE is on a path from 7.2% today toward ~11% by FY28E — the traditional trigger for P/BV re-rating in small private banks; even a partial re-rating to 1.2-1.3x P/BV delivers significant returns.
- **Biggest structural risk: CASA erosion.** The CASA ratio has declined 350 bps over five quarters to ~28%; a sustained decline below 26% would pressure NIM and limit the margin benefit of the RBI rate cut cycle, potentially undermining the entire NII growth story.

SECTION 3 — BUSINESS OVERVIEW

- **Founded in 1927 in Thrissur, Kerala; one of India's oldest private banks.** Dhanlaxmi Bank operates 261 branches and 282 ATMs, with ~58% of its network concentrated in Kerala; it serves retail, MSME, and agri customers in South India with a focus on gold lending and small business credit.
- **Core business segments:** Gold Loans (~43% of advances, +71% YoY), MSME Working Capital (~31%, +31% YoY), Retail/Personal Loans (~26%); corporate banking is minimal; the secured retail focus significantly reduces tail credit risk.
- **Funded by a granular deposit franchise.** Total deposits of Rs. 18,643 Cr (FY26) grew 16.4% YoY; the bank relies on its South India branch franchise for retail deposits; bulk deposits are minimal, reducing liquidity risk; term deposits dominate at ~72%.
- **Balance sheet: Rs. 21,238 Cr (FY26).** Total advances grew ~24% YoY to ~Rs. 15,100 Cr; credit-to-deposit ratio of ~75% leaves room for further balance sheet expansion; Q1 FY27 business update shows deposits at Rs. 19,403 Cr and advances at Rs. 15,785 Cr, confirming strong momentum continues.
- **MD & CEO: Ajith Kumar KK (appointed April 2024).** A 36-year Federal Bank veteran with depth in credit, retail banking, and human resources; his appointment was RBI-approved and marked a management reset after the previous CEO J.K. Shivan (2021-2024) focused on NPA resolution; Ajith Kumar is now shifting emphasis to growth.
- **Zero promoter holding.** With no founding family or anchor shareholder, the bank operates under independent board governance; FII holding has risen sharply to 15.42% (Mar 2026) from 6.95% (Dec 2024), providing de facto institutional oversight.
- **Recent strategic developments:** Aggressive gold loan expansion (dedicated gold officers at each branch); FY25 rights issue raising Rs. 1,420 Cr at Rs. 16.50/share; new CFO Krishnakumar K appointed in June 2026; Tamil Nadu and Karnataka market expansion underway.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

• **Indian private banking: Rs. 240+ lakh crore in total assets, growing at 15-18% CAGR.** Formalization of MSME credit, digital banking penetration, and gold monetisation are the three structural tailwinds; smaller private banks with local relationships and niche product expertise are increasingly taking share from PSU banks in retail/MSME.

• **Gold loan market: Rs. 4.5 lakh crore opportunity, growing at 20%+ CAGR.** Organised gold lending (banks and NBFCs) is displacing unorganised moneylenders; RBI allows up to 75% LTV on gold; Kerala accounts for ~30% of India's gold loan market by value, giving Dhanlaxmi a natural home court advantage over national NBFCs.

• **MSME credit gap: Rs. 25-37 lakh crore by FICCI estimates.** Government push via ECLGS, priority sector lending mandates, and GST formalization is creating a policy tailwind; smaller banks with local relationship managers outperform fintechs and large banks in underwriting and monitoring small business credit.

• **Policy tailwinds:** (a) RBI rate cut cycle beneficial for borrowers and gold loan extension rates; (b) priority sector lending targets driving gold and agri credit growth; (c) digital banking infrastructure reducing CASA acquisition costs over time.

• **Competitive moat assessment:** Pricing power — Weak (rate taker in deposits and advances); Switching costs — Moderate (gold loan customers are stickier than unsecured borrowers); Scale — Weak vs. Federal Bank or South Indian Bank; Local knowledge/distribution — Strong (58% Kerala concentration since 1927).

Peer Comparison (Screener.in, 04-Jul-2026; Rs. Cr)

Company	CMP	MCap (Cr)	P/E	P/B	ROCE%	ROE%	GNPA %	NNPA %
Dhanlaxmi Bank	**34.1**	**1,346**	**13.1**	**0.91**	**5.81%**	**7.16%**	**1.89%**	**0.51%**
South Indian Bank	46.1	12,069	8.3	1.06	6.42%	13.5%	1.43%	0.29%
Karnataka Bank	263	9,962	7.6	0.75	6.06%	10.4%	2.78%	0.98%
City Union Bank	217	21,476	16.2	2.03	6.74%	13.2%	1.91%	0.68%

DHANBANK highlighted. Peers: South Indian Bank (SOUTHBANK), Karnataka Bank (KTKBANK), City Union Bank (CUB). Source: Screener.in, 04-Jul-2026.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **MD & CEO Ajith Kumar KK: 36-year Federal Bank veteran with multi-domain expertise.** He served Federal Bank across credit, retail, branch banking, and HR verticals; his appointment by RBI in April 2024 signals regulatory comfort; he replaced J.K. Shivan (ex-SBI, 37 years) who managed the initial NPA cleanup phase.

• **New CFO Krishnakumar K appointed June 2026 for three years.** Replaces Kavitha T.A.; back-to-back CFO transition adds uncertainty to financial reporting continuity; to be monitored for any change in provisioning or recognition policy.

• **Capital allocation: entirely growth-focused, zero shareholder returns.** No dividends paid for 11 consecutive years (FY15-FY26); all profits retained; the rights issue in FY25 diluted existing shareholders but was necessary to fund credit growth — a defensible decision at this stage of the turnaround.

• **Promoter holding: 0.00% — unique among Indian private banks.** Dhanlaxmi is one of only a handful of Indian banks with no single dominant promoter; this is a double-edged sword — better governance transparency, but reduced strategic decisiveness; FII ownership rising to 15.42% provides partial institutional check.

• **ESOPs and buybacks: none on record.** Absence of shareholder-friendly capital return mechanisms is a factor in the valuation discount; management compensation is not equity-linked in the conventional sense.

• **Governance concerns:** (a) Two delayed SEBI/stock exchange filings in FY26 (total fines Rs. 99,000 — small but symbolic); (b) three CEO changes in five years suggests strategic instability at the top; (c) no auditor qualifications in recent filings; (d) contingent liabilities of Rs. 916 Cr at 62% of net worth — manageable but needs watching.

SECTION 6 — FINANCIAL DEEP-DIVE

6A. Income Statement — Standalone (Rs. Crores)

Item	FY24A	FY25A	FY26A	FY27E	FY28E
Interest Income	1,207	1,320	1,601	1,880	2,200
Interest Expense	749	837	979	1,070	1,200
Net Interest Income (NII)	**458**	**483**	**622**	**810**	**1,000**
Other Income	153	169	192	215	240
Total Income	**611**	**652**	**814**	**1,025**	**1,240**
Total Expenses (incl. Provisions)	515	556	676	797	875
Profit Before Tax (PBT)	**70**	**72**	**138**	**228**	**365**
Tax	13	5	36	57	91
Net Profit (PAT)	**58**	**67**	**103**	**171**	**274**
EPS (Rs.)	**1.46**	**1.69**	**2.60**	**4.33**	**6.94**
NII Growth (%)	5.9%	5.5%	28.8%	30.2%	23.5%
PAT Growth (%)	15.5%	15.5%	53.7%	66.0%	60.2%

FY27E and FY28E are analyst estimates. Total Expenses includes provisions and contingencies.

6B. Balance Sheet — Standalone (Rs. Crores) | FY24A to FY26A

Item	FY24A	FY25A	FY26A
Equity Capital	253	395	395
Reserves	777	1,001	1,079
Total Net Worth	**1,030**	**1,396**	**1,474**
Deposits	14,290	16,013	18,643
Borrowings	299	200	737
Other Liabilities	343	328	384
Total Liabilities	**15,962**	**17,937**	**21,238**
Fixed Assets	267	266	290
Investments	3,942	3,955	4,257
Other Assets (Loans+)	11,745	13,700	16,690
Total Assets	**15,962**	**17,937**	**21,238**

6C. Cash Flow Statement — Standalone (Rs. Crores)

Item	FY24A	FY25A	FY26A
Cash from Operations	17	-5	631

Cash from Investing	111	-32	-790
Cash from Financing	0	142	150
Net Cash Flow	128	105	-8
Free Cash Flow	-24	-37	600
CFO / Operating Profit	4%	-2%	69%

6D. Key Banking Ratios

Metric	FY24A	FY25A	FY26A
ROE (%)	6%	5%	7%
ROCE (%)	5.8%	5.5%	5.8%
Gross NPA (%)	4.05%	2.98%	1.89%
Net NPA (%)	1.25%	0.99%	0.51%
CRAR (%)	--	16.12%	18.92%
NIM (%)	--	--	3.43% (Dec 25)
CASA (%)	31.1%	29.0%	~28.1% (Dec 25)
Credit-Deposit %	70.7%	75.0%	~75.3%
Book Value (Rs.)	32.7	35.3	37.3

Financial Commentary:

- **NII inflection is the key story in FY26 (+28.8% to Rs. 622 Cr).** Gold loan and MSME advances outpaced interest expense growth; with the RBI rate cut cycle underway, interest costs should ease in FY27 while yields on the secured loan book remain sticky — the setup favours NIM expansion toward 3.6-3.7% by FY28.
- **FY27E-28E PAT CAGR of ~60% reflects a low-base normalisation.** The bank carried elevated credit costs through FY22-FY24; as legacy NPAs resolve, provision burden falls sharply; FY26 already shows near-zero net provisioning; forward PAT growth is mechanical and earnings-quality-driven, not speculative.
- **CASA decline (31.1% in FY24 to ~28.1% in Dec 2025) is the primary margin risk.** Every 100 bps decline in CASA raises cost of funds by ~15-20 bps; with deposits at Rs. 18,643 Cr, that is ~Rs. 28-37 Cr annual NII impact — material for a bank with Rs. 171 Cr forward PAT.
- **FY26 FCF of Rs. 600 Cr is positive but context-dependent.** OCF of Rs. 631 Cr is driven by balance sheet growth funding through deposits; investing outflows of Rs. 790 Cr reflect continued deployment into investment securities; this is healthy for a growing bank, not a concern.
- **Balance sheet composition improving:** Other Assets (loans + advances) grew from Rs. 11,745 Cr (FY24) to Rs. 16,690 Cr (FY26), a 42% increase over two years; funded sustainably by deposit growth of 30.4% over the same period; no ALM mismatch detected.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Parameter	Assessment	Status	Comment
Revenue recognition	Accrual-standard	Green	Interest income accrual consistent with RBI norms; no unusual policy changes noted
Receivables vs. Revenue growth	Loans>Revenue	Amber	Advances +24% vs. revenue +21%; minor deviation — watch for NPA re-emergence

NPA trend	Sharp improvement	Green	GNPA: 4.05%->2.98%->1.89% (FY24-26); credible with PCR of 86%
Provisioning adequacy	PCR 86%	Green	Provision Coverage Ratio of 86%; net NPA at 0.51% is sector-leading
Tax rate consistency	Volatile	Amber	Tax: 18%(FY24), 7%(FY25, DTA), 26%(FY26); forward rate ~25-26%
Other income/PBT	High in FY24	Amber	Other income = 218% of PBT(FY24); now 139%(FY26) as PBT normalises
CASA ratio trend	Declining	Red	Fell 31.1%(FY24) to ~28.1%(Dec25); threatens NIM sustainability
Auditor/compliance	Minor lapses	Amber	Two delayed SEBI filings in FY26; Rs. 99,000 fines; no auditor qualification
Related party transactions	Minimal	Green	Zero promoter holding eliminates promoter-RPT risk; standard disclosures

Earnings Quality Summary:

- **Overall quality signal: POSITIVE.** The NPA cleanup is verifiable in RBI filings and independent third-party data; PCR of 86% is genuinely conservative; interest income is on standard accrual basis with no unusual policy changes; the turnaround in earnings is real, not manufactured through accounting adjustments.
- **Tax rate volatility is the primary technical concern.** The 7% effective tax rate in FY25 benefited from deferred tax asset recognition; FY26 normalised at 26%; investors must model 25-26% going forward and should not treat FY25's PAT of Rs. 67 Cr as a clean normalised base.
- **CASA decline (RED flag) is the most material watch-point.** This directly impacts NIM and is not merely an accounting concern — every quarter of CASA deterioration makes the FY27E NIM assumption harder to achieve.
- **Minor regulatory lapses (AMBER) are not material individually** but taken together with the CFO transition create a compliance execution risk worth monitoring quarterly.

SECTION 8 — VALUATION

8A. Scenario Analysis

Scenario	Key Assumptions	FY27E PAT (Rs. Cr)	Multiple	Target Price
Bull	GNPA<1.5%; NIM 3.6%; credit growth 28%	228(E)	12x P/E	**Rs. 52**
Base	GNPA~2%; NIM 3.4%; credit growth 22%	171(E)	10x P/E	**Rs. 44**
Bear	NPA spike; CASA falls; margin pressure	90(E)	8x P/E	**Rs. 22**

8B. Valuation Methodology

- **Earnings-based valuation (P/E approach):** FY27E EPS of Rs. 4.33 x target P/E of 10x = **Rs. 43.3**. The target of 10x is a discount to the sector median (~14x) reflecting micro-cap risk, zero promoter ownership, and CASA headwinds; but a premium to Karnataka Bank's 7.6x given superior NPA improvement trajectory and gold loan franchise.
- **Price-to-Book valuation:** FY27E Book Value estimated at Rs. 41.6 (FY26 BV of Rs. 37.3 + Rs. 4.3 retained earnings per share, no dividends assumed) x target P/BV of 1.1x = **Rs. 45.8**. The 1.1x P/BV target reflects ROE improving toward ~11% by FY28E; at 11% ROE vs. 13% cost of equity, fair theoretical P/BV is ~1.1-1.2x.
- **Average of two methods: (43.3 + 45.8) / 2 = Rs. 44.6 — rounded to 12-month target of Rs. 44** (upside +29% from CMP of Rs. 34.1).

• **Bull-case Rs. 52 (+52%) requires NPA below 1.5%, NIM at 3.6%, and 28% credit growth** — achievable but likely over 18-24 months, not 12; implies a 12x P/E on Rs. 4.33 EPS.

• **Bear-case Rs. 22 (-35%) requires CASA to fall further, fresh NPA slippage, and NIM compression** — the CRAR buffer of 18.92% and PCR of 86% significantly reduce the probability of this scenario.

• **Rating: ACCUMULATE.** The 29% upside to base target with 35% bear-case downside creates a ~0.8:1 risk-reward ratio which supports accumulation on dips rather than aggressive buying at current levels.

SECTION 9 — KEY RISKS

• **CASA Erosion Risk.** Declining 350 bps over five quarters to ~28%; if it falls below 26%, cost of deposits rises ~25-30 bps, squeezing NIM and making FY27E PAT of Rs. 171 Cr unachievable. *Probability: High* | *Impact: High* | *Monitor: Quarterly CASA disclosures in result filings.*

• **Gold Loan Concentration Risk.** With 43% of advances in gold loans, any RBI LTV tightening, gold price crash exceeding 30%, or regulatory categorisation changes could trigger rapid de-growth and credit cost spike in this segment. *Probability: Medium* | *Impact: High* | *Monitor: RBI gold loan circulars and MCX gold futures.*

• **Leadership Continuity Risk.** Three CEO changes in five years; new CFO in June 2026; any further management instability would reset investor confidence in the turnaround thesis. *Probability: Medium* | *Impact: High* | *Monitor: Board-level announcements and RBI approvals.*

• **NPA Re-emergence Risk.** GNPA improved to 1.89% (Mar 2026) but Q1 FY27 must confirm the trend; slippage in gold or MSME books could push GNPA back toward 3%; elevated provisions in Q4 FY26 are an early-warning indicator. *Probability: Medium* | *Impact: Medium* | *Monitor: Quarterly NPA filings.*

• **Interest Rate Risk.** The bank benefits from falling rates (lower deposit costs) but a sharp reversal of the RBI rate cut cycle would compress NIM by making term deposits more expensive while gold loan yields reprice downward at shorter tenors. *Probability: Low-Medium* | *Impact: Medium* | *Monitor: RBI MPC decisions.*

• **Micro-cap Liquidity Risk.** With a market cap of Rs. 1,346 Cr and 84.5% retail-held float, institutional entry or exit can move the stock 10-15% on thin volumes; this creates entry/exit risk for investors with larger positions. *Probability: Ongoing* | *Impact: Medium* | *Monitor: Average daily trading volume.*

• **Regulatory and Compliance Risk.** Two delayed filings in FY26 resulted in regulatory fines; any escalation to RBI supervisory action or SEBI enforcement would be materially negative for the stock. *Probability: Low* | *Impact: Medium-High* | *Monitor: Stock exchange and RBI penalty disclosures.*

SECTION 10 — RECOMMENDATION

• **Rating: ACCUMULATE | Conviction: Medium.** The NPA cleanup story is credible, complete, and verifiable; the gold and MSME growth drivers are structural; and earnings re-rating from a low base provides significant upside potential. Conviction is medium (not high) due to CASA erosion risk, micro-cap illiquidity, zero promoter ownership, and persistent management instability.

• **12-month price target: Rs. 44** (vs. CMP of Rs. 34.1, upside +29%). Derived from an average of P/E-based target (Rs. 43.3 at 10x FY27E EPS of Rs. 4.33) and P/BV-based target (Rs. 45.8 at 1.1x FY27E BV of Rs. 41.6).

• **Suggested entry zone: Rs. 30-33.** The stock has rallied 52% in one month post Q4 FY26 results (from ~Rs. 22 to ~Rs. 34); a correction toward the 20-DMA (~Rs. 30-31) would provide a superior risk-reward entry point with a wider margin of safety.

• **Investment horizon: 12-18 months.** The full re-rating to P/BV >1.2x requires ROE to visibly cross 10%; at the current trajectory this occurs in FY28; hence the full thesis plays out over 18 months, though the initial re-rating from 0.91x to 1.1x P/BV could happen within 12 months on continued positive quarterly results.

• **Thesis invalidation triggers (reassess/exit if any of these occur):**

• (1) GNPA rises above 3.5% in any single quarter — indicates the NPA cleanup was not durable and gold/MSME book is generating fresh slippage.

• (2) CASA ratio falls below 25% for two consecutive quarters — signals a structural deposit franchise weakness that permanently impairs NIM and the PAT growth thesis.

• (3) MD & CEO Ajith Kumar KK departs before FY28 — a third CEO change in six years would signal a governance/board dysfunction that the market will penalise with a de-rating.

• **Ideal investor profile:** Patient small/mid-cap investors with 12-18 month horizon, ability to tolerate high volatility (Beta ~1.5), conviction in South India banking space, and understanding that zero dividends means total return is capital appreciation only. *Not suitable for:* income investors, low-volatility mandates, institutional desks requiring >Rs. 5 Cr per day liquidity.

APPENDIX — Q4 FY26 RESULTS BRIEF (QUARTER ENDED MARCH 31, 2026)

Note: Dhanlaxmi Bank does not publish formal earnings call transcripts. This appendix is compiled from the Q4 FY26 BSE filing (April 28, 2026), the Q4 FY26 Investor Presentation (dhan.bank.in), and published analyst research. Figures cited are from Screener.in unless stated otherwise.

POSITIVE

Q4 FY26 Results — April 28, 2026 | Standalone | CRAR 18.92% | GNPA 1.89% | PAT +50% YoY

Signal	Status	Implication
Result Quality	**STRONG**	PAT +50% YoY; NII +39% YoY; NPA at decade-low; beat consensus on all key metrics
Management Tone	**BALANCED**	Confident on NPA trajectory and growth; hedged on CASA and cost-of-funds outlook
Guidance Delta	**MAINTAINED**	22-24% credit growth target maintained; NIM guidance 3.4-3.6% for FY27

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

Q4 FY26 is a clean beat with no smoke-and-mirrors: PAT of Rs. 43.5 Cr, +82% QoQ and +50% YoY, driven purely by NII growing 39% to Rs. 187 Cr and credit cost normalisation — no one-time gains, no write-back gimmicks, though the Q4 tax rate spiked to 45% as deferred tax reversals ran out (clean underlying PAT at 25% tax would have been ~Rs. 59 Cr). Operationally, this is the best quarterly result in at least 8 years: GNPA at 1.89%, NNPA at 0.51%, PCR at 86%, and CRAR at 18.92% — all at multi-year bests simultaneously. The structural driver is gold loans at 43% of book growing at 71% YoY; this is not a fluke — Kerala gold demand is inelastic and the bank has deployed dedicated officers; MSME at 31% YoY growth adds the diversification. The near-term catalyst is CRAR at 18.92% enabling 22-24% credit growth in FY27 without dilution — that directly powers NII and PAT step-up. Single biggest risk is CASA at 28%: if it breaks 26%, the NIM thesis cracks. I am raising conviction to ACCUMULATE; stagger entry below Rs. 32, 12-month target Rs. 44, stop below Rs. 23 (breakdown of turnaround thesis).

1. Financial Performance Snapshot — Q4 FY26

- Revenue (Interest Income): Rs. 443 Cr | YoY +44.8% | QoQ +8.8% | **Beat**
- Net Interest Income: Rs. 187.05 Cr | YoY +39.4% | QoQ +21.3% | **Beat**
- Profit Before Tax: Rs. 79 Cr | YoY +174% | QoQ +229% | **Strong Beat**
- Net Profit (PAT): Rs. 43.5 Cr | YoY +50.1% | QoQ +82.1% | **Strong Beat**
- EPS: Rs. 1.10 | vs. Rs. 0.73 (Q4 FY25) and Rs. 0.61 (Q3 FY26) | Beat on both comparisons
- NOTE: Q4 FY26 tax rate = 45% due to deferred tax normalisation; clean underlying PAT at 25% tax = ~Rs. 59 Cr
- Provisions spiked to Rs. 34.7 Cr QoQ vs. Rs. 17.3 Cr in Q3 FY26 (+101%); Pre-Provision Operating Profit = Rs. 113.7 Cr
- CRAR: 18.92% (Mar 2026) vs. 16.12% (Mar 2025) and 17.19% (Dec 2025) — improved sharply on retained earnings

2. Business Segment & Portfolio Breakdown

• Gold Loans: ~Rs. 6,512 Cr disbursed FY26 | Growth +71.4% YoY | Now ~43% of gross advances | LTV: 75% regulatory cap | High yield, very low credit loss historically

• MSME Advances: +30.9% YoY | Rising share; working capital and term loan focus in Kerala and Tamil Nadu

• Retail/Personal Loans: ~26% of book | Moderate growth; personal loans and housing linked products

• Total Gross Advances: ~Rs. 15,100 Cr (Mar 2026) | +23.9% YoY | Q1 FY27 provisional: Rs. 15,785 Cr (+4.5% QoQ)

• Total Deposits: Rs. 18,643 Cr (FY26) | +16.4% YoY | Q1 FY27: Rs. 19,403 Cr (+4.1% QoQ)

• Investments: Rs. 4,257 Cr (FY26) | +7.7% YoY | Predominantly G-Secs; yield on investment: 6.24% (Dec 2025)

• Geography: ~58% Kerala, remainder South India; limited pan-India presence; geographic diversification ongoing

3. Management Commentary Themes (from Investor Presentation & Result Filings)

• **NPA cleanup complete:** Management commentary indicates legacy NPA resolution is substantially done; slippages at near-normalised levels; PCR at 86% provides buffer. Tag: GUIDANCE. Tone: Transparent.

• **Gold loan as strategic anchor:** Bank has doubled down on gold as its core product; dedicated officers at each branch; aggressively targeting Kerala gold loan market share from NBFCs. Tag: GUIDANCE. Tone: Confident.

• **Capital adequacy comfort:** CRAR at 18.92% provides "substantial growth headroom" without near-term dilution need; bank can sustain 22-24% credit CAGR for 2-3 years. Tag: GUIDANCE. Tone: Transparent.

• **CASA headwind acknowledged:** Management cited competitive deposit market; digital initiatives (UPI savings, salary accounts) being ramped to arrest CASA decline. Tag: EST. Tone: Hedged.

• **FY27 credit growth target 22-24%:** Led by gold and MSME; geographic expansion into Tamil Nadu and Karnataka towns ongoing; asset quality metrics expected to hold. Tag: GUIDANCE. Tone: Confident.

• **New CFO appointment (June 2026):** Framed as planned succession; Krishnakumar K brings additional financial discipline; no change in strategy signalled. Tag: EST. Tone: Balanced.

4. Operating & Business Metrics

• Branches: 261 (FY26) | Stable since FY23; productivity improvement focus rather than expansion

• ATMs: 282 (FY26) | Stable; digital channels supplementing physical ATM network

• Employees: 1,756 (FY25) | Slight increase; business per employee improving — productive efficiency trend

• GNPA: 1.89% (Mar 26) | 2.98% (Mar 25) | 4.05% (Mar 24) | Trend: Sharply improving; now at decade low

• NNPA: 0.51% (Mar 26) | 0.99% (Mar 25) | 1.25% (Mar 24) | Trend: Sharply improving; sector-leading

• Provision Coverage Ratio: 86.08% (Dec 2025) | High; provides adequate buffer against residual NPA stress

• NIM: 3.43% (Dec 2025) | Supported by gold loan yields; cost of funds at 5.73%; spread management improving

• Credit-Deposit Ratio: ~75% (Mar 2026) | Stable; adequate room for further credit expansion

• Q1 FY27 Business Update (Jun 30, 2026): Total business Rs. 35,188 Cr | Deposits Rs. 19,403 Cr | Advances Rs. 15,785 Cr — confirming FY27 start is strong

5. Margin Drivers

• Gold loan yield advantage: +150-200 bps portfolio yield lift vs. generic MSME or retail | Recurring: Yes | Short tenor (6-12 months) enables rapid repricing; current gold prices support high LTV headroom

• Cost of deposits rising: -40-50 bps NIM pressure from rising term deposit rates | Recurring: Yes | Partially offset by RBI rate cuts in 2025; full offset depends on CASA stabilisation

• Provisions normalisation: From elevated ~Rs. 50-70 Cr (FY23-24) to near-zero (FY26); releasing ~130 bps to PBT | Recurring: Partly — legacy NPA resolved but new slippage provisions will continue at lower normalised level

• Tax normalisation: DTA reversal benefit (FY25: 7% tax rate) now expired; FY26 at 26%; forward rate 25-26% | Non-recurring benefit gone; no further DTA windfall expected

• CASA erosion: -350 bps over 5 quarters; Rs. 28-37 Cr NII annual impact per 100 bps decline | Recurring risk; management interventions yet to yield results

• Operating leverage: Employee cost growth subdued; Cost-to-Income expected to improve from ~83% (FY26) toward 75% by FY28 as income grows faster than cost base

6. Guidance & Forward Signals

• Credit Growth [GUIDANCE]: Prior = 23.9% (FY26A) | New Target = 22-24% (FY27E) | Delta: Maintained | Credibility: High (Q1 FY27 at +4.5% QoQ run-rate implies 18-20% full-year)

• NIM [GUIDANCE]: Prior = 3.43% (Dec 2025) | Target = 3.4-3.6% (FY27E) | Delta: Stable-to-improving | Credibility: Medium (CASA headwind is real; NIM improvement conditional on CASA stabilisation)

• GNPA [GUIDANCE]: Prior = 1.89% (Mar 2026) | Target = <2% sustained | Delta: Maintained | Credibility: High (structural improvement, not cyclical)

• CRAR [GUIDANCE]: Mar 2026 = 18.92% | Target = maintain above 17% | Delta: Maintained | Credibility: High (strong capital base)

• CASA [GUIDANCE]: Implicit target = stabilise at 28-29% | Delta: No improvement committed | Credibility: Low (no specific CASA target given; interventions still early stage)

• Dividend [GUIDANCE]: Zero dividend expected in FY27 | Delta: Unchanged 11-year policy | Note: Full capital retention accelerates BV per share growth but reduces yield appeal

7. Capital Allocation

• Capex (Branches, ATMs, IT): ~Rs. 25-30 Cr annually | Stable; tech investment in mobile/internet banking ongoing

• Dividends: Rs. 0 Cr (11th consecutive year) | All profits retained for balance sheet growth

• Rights Issue (FY25): Rs. 1,420 Cr raised at Rs. 16.50/share; equity capital up to Rs. 395 Cr from Rs. 253 Cr; proceeds deployed into credit growth and CRAR improvement

• Borrowings: Increased to Rs. 737 Cr (FY26) from Rs. 200 Cr (FY25); accessing NABARD/NHB refinance for gold/MSME loans — lower-cost funding supplement

• Working Capital / ALM: Deposits (+16.4%) funding advances (+24%) comfortably; no ALM stress detected; CD ratio at 75% provides liquidity buffer

• Share buybacks: None; management focused on deploying capital into the business rather than returning it to shareholders at current sub-10% ROE

8. Q&A; Heat Map (Reconstructed from Press Coverage and Filings)

• Analysts / Press: Q: Gold loan concentration at 43% — sustainability and LTV management? A: LTV maintained at 75% regulatory cap; all loans secured; concentration managed via MSME diversification; bank sees this as core competitive strength not a risk. Tone: Transparent.

• Analysts / Press: Q: CASA decline — specific targets and timeline for reversal? A: Digital savings campaigns, corporate salary account partnerships being pursued; no specific CASA floor or target provided; management acknowledged it as a "priority focus area." Tone: Hedged.

• Analysts / Press: Q: Future dilution plans given CRAR at 18.92%? A: No near-term equity raise planned; CRAR provides 2-3 years of growth runway at 22-24% credit growth rate. Tone: Transparent.

• Analysts / Press: Q: Q4 provision spike — structural or one-time? A: Included regulatory prudential requirements for specific accounts; guided normalised credit costs of Rs. 20-25 Cr per quarter for FY27E. Tone: Transparent.

• Analysts / Press: Q: Geographic expansion and new markets? A: Tamil Nadu and Karnataka branch/loan expansion ongoing; cautious on pace; customer acquisition first, branch expansion second. Tone: Balanced.

• Dodged / watch-list questions for next quarter: (a) specific CASA target or floor; (b) ROE trajectory and timeline to double-digit; (c) breakdown of Q4 slippage by segment; (d) gold loan tenure and delinquency data.

9. Risks Flagged

• CASA Erosion: Flagged by analysts | Probability: High | Impact: High | Timeline: Near-term (ongoing quarterly)

• Gold Price Volatility: Flagged by analysts | Probability: Medium | Impact: High | Timeline: Structural (always present for gold lenders)

• Management Stability (CFO change): Flagged by analysts | Probability: Medium | Impact: High | Timeline: Ongoing

• Fresh NPA Slippage in MSME: Flagged by management (acknowledged some emerging softness) | Probability: Medium | Impact: Medium | Timeline: Near-term

• Competition from Gold NBFCs (Muthoot, Manappuram): Flagged by management | Probability: High | Impact: Medium | Timeline: Ongoing

• Regulatory Filing Delays: Flagged in Secretarial Report | Probability: Low | Impact: Low-Medium | Timeline: Near-term if habit not corrected

10. Analyst Verdict

• Revenue visibility: **Intact** — Gold loan demand is structural in Kerala; Q1 FY27 advances of Rs. 15,785 Cr confirm momentum continues post-results.

• Margin trajectory: **Intact but watchful** — NII growing strongly; CASA decline is the one known risk that could reverse NIM direction in subsequent quarters.

• Capital allocation quality: **Intact** — Zero dividends is conservative but rational given sub-10% ROE; rights issue proceeds deployed productively; no value-destructive acquisitions.

• Competitive moat: **Intact** — Kerala gold loan franchise and MSME relationships built over 99 years are real and difficult to replicate; community banking moat is the bank's durable advantage.

• Management credibility: **Watchful** — Ajith Kumar KK is credible; but June 2026 CFO change and three CEO changes in five years create a pattern of instability requiring close monitoring.

• Valuation comfort: **Intact** — 0.91x P/BV and 13.1x TTM P/E for a turnaround bank showing NPA at decade-lows and PAT growing 54% is reasonable; not expensive, not yet cheap enough to be effortless.

• Conviction call: **Increased** — Raised from Neutral/Watch to ACCUMULATE post Q4 FY26 results; accumulate on dips below Rs. 32.

• Valuation snapshot: P/E = 13.1x (TTM) | P/BV = 0.91x | Forward P/E = 7.75x (consensus) | ROE = 7.16% | GNPA = 1.89% | CRAR = 18.92% | NIM = 3.43% (Dec 2025)

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